How the Health Savings Account Became a Tax-Friendly Adventure Vehicle

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Adam Auriemma November 10, 2026

Creative investors are using HSAs to take risky bets that don’t fit into a diligent strategy.



One person interviewed by Bloomberg is using a Health Savings Account to invest in livestock.Photographer: Graeme Sloan/Bloomberg

Hey, all. Who knew a Health Savings Account could be so provocative? HSAs are designed to help you save on medical expenses, but creative investors have them turned into vehicles for adventurous bets.

Speaking of betting: A three-year analysis of online sports betting shows how a first-time gambler becomes a heavy user.

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Off the Beaten Path

Open enrollment season is winding down at most employers. If you signed up for a Health Savings Account (HSA), you probably know you're in for a triple tax advantage. The earnings you contribute to these accounts, which come alongside high-deductible health insurance plans, are pretax; investments within an HSA grow tax-free; and withdrawals don't get taxed if you use the funds for qualified medical expenses.

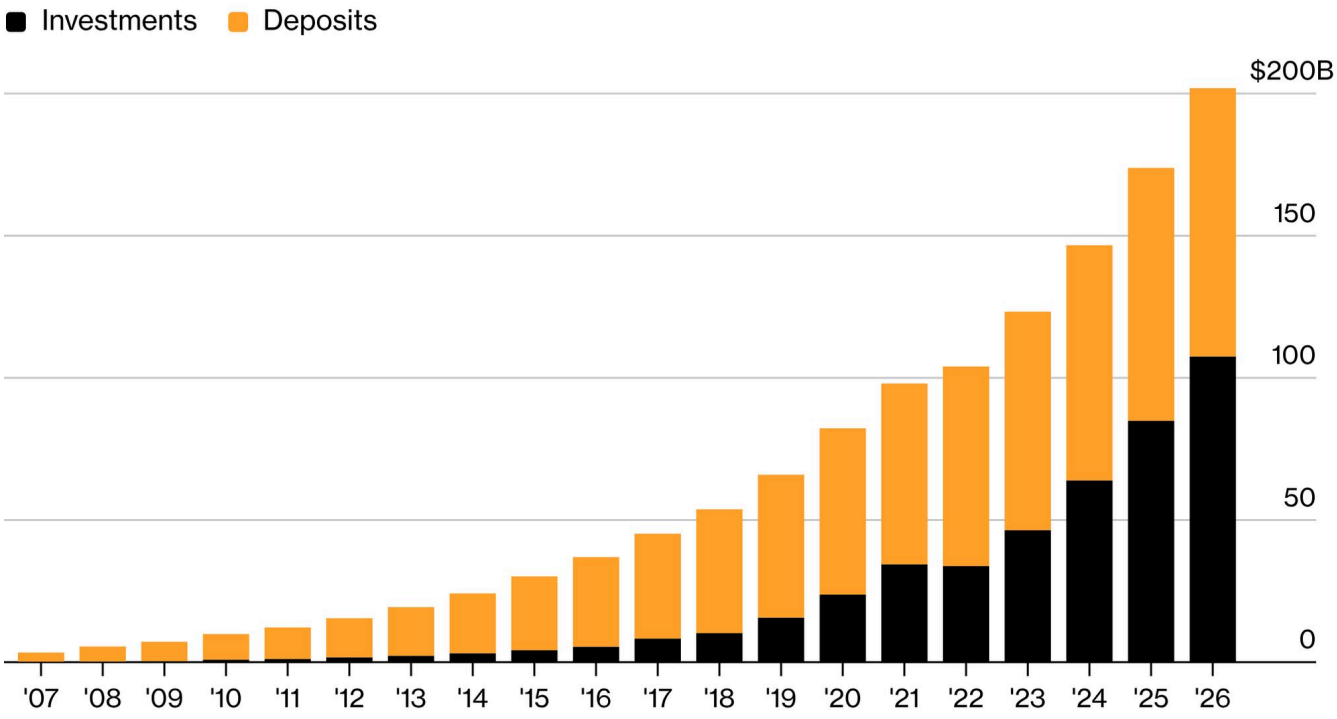
What you may not know is that HSAs have become a Wild West for some DIY investors. They're using these vehicles as "cowboy accounts" — pots of money set aside for risky, creative or otherwise adventurous bets that don't fit into a diligent investment strategy.

My colleague Sarah Foster talked to some of these investors. They are dutiful with their retirement accounts but use HSAs to take a flyer on alternative assets such as cryptocurrencies, rental properties or even livestock.

Sounds fun! I see the appeal, and the HSA makes a great vehicle for a joyride. Multiple brokerages offer an array of investing choices. The account is tax-efficient and its relatively low contribution limit will put a ceiling on how far you can go with it. A single person with a high-deductible health plan can move $4,400 into an HSA in 2026, while families can contribute up to $8,750; these figures include employer contributions.

More HSAs Are Becoming Investment Accounts

HSA balances have surged over the past decade, with investments accounting for an increasing share.



Note: 2026 is a year-end estimate.
Source: Devenir, 2026 Midyear HSA Research Report

Bloomberg

On the other hand, financial advisers warn about the cost and illiquidity of alternative investments, whether in an HSA or elsewhere. Many recommend accumulating two or three years' worth of routine medical expenses in cash within an HSA before using additional funds to buy investments. I've always used my Health Savings Account to buy stocks — but the boring, diversified funds I own throughout my portfolio.

Here's another note of caution, straight from my inbox. When Sarah wrote this newsletter a couple weeks ago, she asked readers to "name the most stubborn expense in your budget right now." Since then, I've heard from multiple retirees who told me they simply don't know how to account for their unexpectedly high healthcare costs.

The projected lifetime healthcare spending for today's average 65-year-old increased 7.5% this year, according to Fidelity. At that rate it's a looming budget buster, one the HSA is designed to help mitigate.

Tough Odds

What else can I say about sports betting? When I write about it here — how it's a losing game for young people, even as they conflate gambling with traditional investing — I feel like a crabby old man.

Here's another approach: A new story in Businessweek uses three years of transaction data to trace the path of an online sports bettor (likely male, statistically speaking) from a first-time gambler into one showing problematic behavior, such as adding money to a sportsbook account hundreds of times a year.

The data comes from Massachusetts, which legalized sports betting in 2023. Using information from Bloomberg Second Measure, which draws from millions of anonymized credit and debit-card users, Bloomberg followed the trajectories of more than 2,000 people who placed online bets for the first time shortly after legalization. Three years later, some 15% of these people were depositing money into their sportsbook accounts once a week, likely at the expense of other financial goals such as investing for retirement.

Sports-betting platforms depend on heavy users. The most active third of gamblers account for more than 93% of estimated revenue, Bloomberg found. Of all the people who place deposits into sportsbooks monthly, the analysis said, one in five will eventually do so daily.

Quick Hits

- **Whack-a-mole:** Florida voters approved a measure to cut property taxes. The change may lead to higher rates on home insurance.
- **All aboard:** Young people are taking more cruise vacations as affordability trumps the ships' previous reputation as passé.
- **Logging in:** Limited corporate budgets have created a new workplace hierarchy: Which employees have access to AI tools.

Q for You

Who's got a Health Savings Account, and what are you doing with it? Let me know how you think about the balance between saving for healthcare costs and the investment choices within an HSA. You can write to me at moneynews@bloomberg.net.